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The EU AI Act 2024

How Copilot and ChatGPT fare

Introduction

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Agenda

1. What is the EU AI Act?
2. Baseline of the comparison
3. Comparison Point by point
4. Q&A

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What is the EU AI Act?

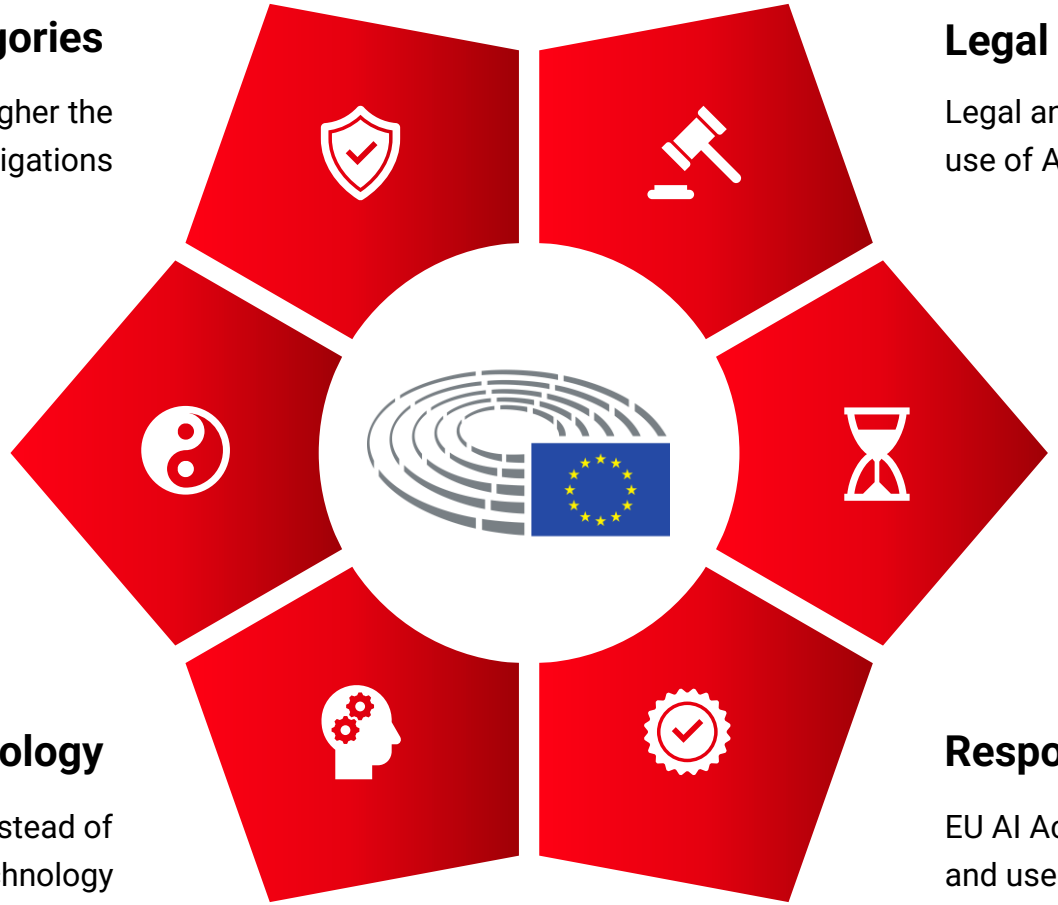
Overview

Categories

The higher the risk category, the higher the requirements and obligations

Legal basis

Legal anchoring of various requirements for the use of AI in Europe – by the European Parliament



Neutrality

Law is technologically neutral and dedicated working group serves to supervise

Lengthy development

In progress since 2021, consultation on 13.06.2024, in force since 01.08.2024

People before technology

AI should be supervised by humans, instead of automation and technology

Responsible use

EU AI Act addresses developers, providers and users of AI

Categories

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Minimal risk

- Development and use under common law
- Most AI systems in the EU fall into this category.
- Voluntary compliance with commitments

Limited risk

- No immediate danger
- Providers have to fulfil transparency obligations.
- Publication of functionality and risks
- Generative AI such as Copilot/ChatGPT (under certain circumstances)

High risk

- Potential security risk for people and their fundamental rights
- Generally allowed, but with strict guidelines
- AI in cars, airplanes, medicine
- AI in law enforcement, transport, education, etc.

Unacceptable risk

- Ban by EU due to breach of fundamental rights and EU values
- AI systems such as
  - Social Scoring
  - Real-time remote identification
  - Surveillance
  - Emotion recognition
  - Evaluation of faces

Timeline

Aug 2024

Coming into force

The EU AI Act will officially come into force on August 1, 2024.

Feb 2025

Prohibition

Unacceptable AI systems have been banned since 02.02.2025.

Aug 2025

General AI

Application of transparency rules for "general AI systems"

Aug 2026

Execution

All resolutions of the EU AI Act become valid

Aug 2027

High risk

Obligations for high-risk AI systems come into force

Baseline of the comparison

Comparison parameters

- Microsoft 365 Copilot, ChatGPT Team und Enterprise
- Compliance with key resolutions of the EU AI Act
- Focus on corporate customers
- Professional comparison based on public information
- Personal experience and assessment

Fulfilled

Partially fulfilled

Not fulfilled

Products

Microsoft 365 Copilot

$30 per user/month

ChatGPT Team

$30 per user/month

ChatGPT Enterprise

starting at $50 per user/month*

Sources

Microsoft 365 Copilot

Microsoft 365 Copilot documentation | Microsoft Learn

Microsoft 365 Copilot – Microsoft Adoption

Empowering responsible AI practices | Microsoft AI

How does Microsoft 365 Copilot work? | Microsoft Learn

Microsoft 365 Copilot data protection and auditing architecture | Microsoft Learn

Data, Privacy, and Security for Microsoft 365 Copilot | Microsoft Learn

Enterprise data protection in Microsoft 365 Copilot and Microsoft 365 Copilot Chat | Microsoft Learn

Transparency Note for Microsoft 365 Copilot | Microsoft Learn

ChatGPT

platform.openai.com

trust.openai.com

help.openai.com

ChatGPT Team | OpenAI

ChatGPT for enterprise | OpenAI

Business terms | OpenAI

Introducing data residency in Europe | OpenAI

Enterprise privacy at OpenAI | OpenAI

ChatGPT Pricing | OpenAI

Evaluation grid

	Microsoft 365 Copilot	ChatGPT Team	ChatGPT Enterprise
Transparency and information obligations			
Human oversight and reporting			
Data security and data protection			
Freedom from bias and discrimination			
Traceability and auditing			
Usability			
Liability and Responsibility			

Comparison point by point

Transparency & Information Obligations

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#1

- Educating end-users about how the AI system works
- Labeling AI-generated content, such as text, images, or videos
- Obligation to provide information about the training of LLMs

Assessment #1

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Microsoft 365 Copilot

- Marking of all answers
- Warning that AI-generated content may be incorrect
- Detailed information in official documentation
- No training of the LLM

ChatGPT Team

- Marking and warning below the input window
- Information available in public documentation
- Access to some information from Trust Portal only with license purchase
- No training of the LLM

ChatGPT Enterprise

- Same parameters as ChatGPT Team

Human Oversight & Reporting

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#2

- Need for human oversight of AI systems
- Ensuring user protection and compliance with ethical principles (EU values)
- Humans must be able to monitor AI processes and intervene if necessary
- Usage analyses and reporting should provide people with data-based foundations

Assessment #2

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Microsoft 365 Copilot

- Interruption of the response process possible
- Copilot Dashboard (with minimum of 50 licences) in Viva Analytics
- Adoption reporting with granular breakdown of usage data

ChatGPT Team

- Interruption of the response process possible
- Limited analytics and admin features
- No GPT controls or evaluations possible

ChatGPT Enterprise

- Interruption of the response process possible
- Analytics Dashboard available
- Various GPT controls and engagement available

Data Security & Privacy

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#3

- Comply with privacy policies and laws
- Protection of personal data
- Measures to prevent unauthorized access and access to sensitive data
- Data to be stored and processed by AI in the EU area

Assessment #3

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Microsoft 365 Copilot

- Data and processing within the M365 tenant incl. encryption
- Microsoft 365 Copilot inherits permissions from users
- Various compliance solutions from Microsoft Purview
- Data residency analogous to the selection in the tenant

ChatGPT Team

- Soc2-Compliance (USA) only
- Highly limited compliance solutions
- No controls or group permissions
- EU data residency not guaranteed

ChatGPT Enterprise

- Compliance with international compliance guidelines (including GDPR)
- Various GPT controls and group permissions
- Data residency in Europe since February 2025

Freedom from bias and discrimination

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#4

- AI solutions should work fairly and impartially
- Measures to avoid discrimination, prejudice and distortion
- Transparency about the behavior of the models

Assessment #4

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Microsoft 365 Copilot

- Fairness and non-discrimination as cornerstones of Responsible AI
- Tests show that Copilot does not generate answers
- Regular reviews of LLMs
- Testing Lab for People with Disabilities

ChatGPT Team

- Public recognition that ChatGPT is not free of bias
- Western views and English as the main language
- LLM can take opinions from users
- OpenAI is currently conducting research in this area

ChatGPT Enterprise

- Same parameters as ChatGPT Team

Traceability & Auditing

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#5

- AI processes must be traceable
- Storage and logging of prompts and histories
- Access to information for auditors in companies

Assessment #5

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Microsoft 365 Copilot

- Prompts and operations are stored in M365
- Audit-Logs von Prompts in Microsoft Purview
- Various filter options for audit logs
- No-code evaluations guaranteed in the admin center

ChatGPT Team

- Limited analytics
- No tracing of prompts and processes

ChatGPT Enterprise

- Analytics Dashboard
- Compliance API offers various logs and compliance functions
- Auditing possible

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Usability

#6

- Easy to use and clear user interface
- AI should deliver precise and reliable results
- Stability and minimization of malfunctions
- Speed of AI responses must not come at the expense of accuracy

Assessment #6

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Microsoft 365 Copilot

- Integration in M365 Apps («Flow of Work»)
- Delay in the latest language models
- Weaknesses in accuracy and creativity
- Prompts must be very precise and detailed

ChatGPT Team

- Multiple language models and functions
- Easy to use on one user interface
- High creativity
- A few outages in the last 24 months

ChatGPT Enterprise

- Same parameters as ChatGPT Team

Liability & Responsibility

#7

- Developers, e.g. Microsoft and OpenAI, are responsible for the security and reliability of their products
  - In the event of errors or a defect in the development or operation of an AI, developers can be held liable
- Companies bear responsibility for use
  - Proper implementation, monitoring and training of employees in the use of AI
  - Companies can be held liable for failure to comply with due diligence measures

Assessment #7

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Microsoft 365 Copilot

- Microsoft takes responsibility for security and reliability
- Comprehensive end-user support
- Analogous to freedom from bias and discrimination
- Regular updates and security reviews

ChatGPT Team

- OpenAI commits to regular security reviews
- Limitations of liability listed in Business Terms (Art. 11)
- Customers may be held liable (Art. 10.2)
- Analogous to freedom from bias and discrimination

ChatGPT Enterprise

- Same parameters as ChatGPT Team

Results

	Microsoft 365 Copilot	ChatGPT Team	ChatGPT Enterprise
Transparency and information obligations	☺	☺	☺
Human oversight and reporting	☺	☹	☺
Data security and data protection	☺	☹	☺
Freedom from bias and discrimination	☺	☹	☹
Traceability and auditing	☺	☹	☺
Usability	☹	☺	☺
Liability and Responsibility	☺	☹	☹

Conclusion

- Microsoft has done a lot right with its strategy from a legal point of view
- OpenAI is still lagging behind the requirements of the EU AI Act
- Copilot and ChatGPT Enterprise are comparable – but the version of ChatGPT is at least twice as expensive
- OpenAI invests more in research and development, Microsoft helps itself and adapts

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Q&A